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AI Build-Out Pushes Cloud Moats to Cost Competition



Vasu Kasibhotla
Team: Technology
BI Senior Industry Analyst

The Next AI Megawatt Is Up for Grabs as Cloud Rivals Close In

(Bloomberg Intelligence) -- CoreWeave, Together AI and NScale are narrowing advantages long held by hyperscalers with deep pockets and global infrastructure. As AI spending rises, even the largest cloud providers need debt, leases and partners to supplement cash flow, while long-term customer contracts can help newer providers finance land, power and GPUs without hyperscaler-sized balance sheets. Nebius says customer prepayments can fund 50-60% of associated capex, illustrating how contracts can lower initial capital required for the build-out.

This is the second in a four-part series examining how AI factories are reshaping cloud economics and competitive moats across the technology stack. (09/22/26)

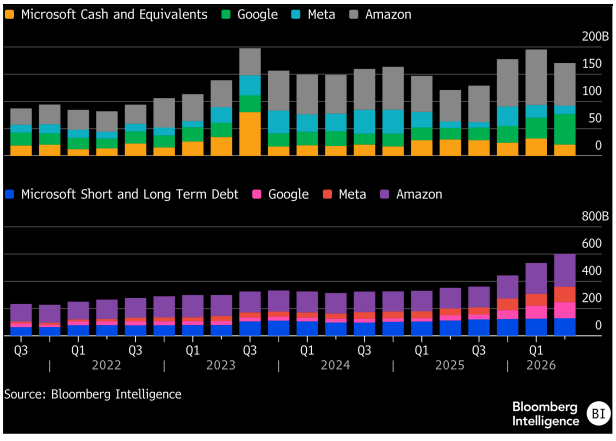
1. AI Capex Consumes the Cash Cushion

AI capital expenditures are narrowing the Big Four's self-funding moat without eliminating it. Using cash paid for property and equipment, rather than management capex that can include noncash finance-lease additions, Bloomberg consensus puts Amazon.com, Microsoft, Alphabet and Meta at $5.76 trillion of operating cash flow against $4.96 trillion of cash capex and $237 billion of expected dividends in fiscal 2026-30.

On a company-year basis, operating cash flow covers 96.8% of capex and dividends lift gross shortfalls in deficit years to $168 billion from $124 billion, before applying existing liquidity or accounting for buybacks and acquisitions.

This isn't a funding crisis. The Big Four still borrow more cheaply and at far greater scale. But with top-five hyperscaler capex potentially near $1.3 trillion in 2027 and the US 10-year around 5%, funding that build-out increasingly requires more than internal cash. The old moat was surplus internal cash; the new one is the ability to combine cash generation with debt, leases and partners at vast scale. The moat has shifted from self-funding to capital orchestration. (09/22/26)

Big Four Debt Outpaces Cash



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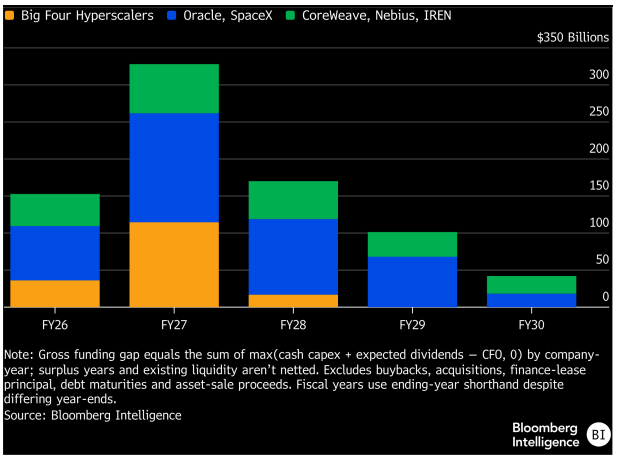
2. Capital Follows Contracts, Not Just Companies

Across nine builders, gross shortfalls total $795 billion across company-years when cash capex and expected dividends exceed operating cash flow in fiscal 2026-30, peaking at $328 billion in 2027; 73% sits with the Big Four, Oracle and SPCX. Netting surplus company-years against deficits leaves a much smaller $56 billion aggregate deficit over the full period.

Timing and ownership, not aggregate cash generation alone, create the funding gap. This isn't a debt- or equity-issuance forecast: existing liquidity, SPVs, project debt and institutional or supplier-backed capital determine how the gap is bridged.

GPU cloud also changes who must earn the credit rating. CPU-cloud entrants largely funded broad regions at parent-company rates before demand arrived. Now an anchor contract, prepayment, GPU collateral and a ring-fenced vehicle can let lenders underwrite a deployment against its own cash flows. Selected CoreWeave, Nebius and Lambda projects have priced near infrastructure spreads even while parent credit remains weaker. The next block can be financed before the company becomes investment grade, lowering the entry barrier without eliminating parent leverage or residual-value risk. (09/22/26)

Fiscal `27 Gross Funding Gap Peaks at $328 Billion



3. Backlog Becomes Collateral Before Cash

GPU cloud reverses the CPU-cloud build sequence. Hyperscalers once funded regions ahead of demand and filled them with millions of tenants. Now an anchor customer can reserve dedicated capacity under a multiyear, prepaid or take-or-pay contract, letting lenders and SPVs fund the site, GPUs and power against that commitment. The contract enters the capital stack before backlog becomes revenue, making a project financeable before its operator reaches hyperscaler scale.

The same contract also helps determine the return. Long terms, prepayments and utilization guarantees reduce equity needs and downside risk, but can give the customer lower pricing and transfer some scarcity upside. CoreWeave's average committed term reached five years, while Nebius says prepayments can fund 50-60% of associated capex. The competitive skill is therefore not simply accumulating backlog, but securing enough certainty to finance the asset without surrendering too much price, flexibility or residual value. The build-ahead moat shrinks as contract structuring becomes a more important competitive capability. (09/22/26)

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From Build-First to Contract-First

Dimension	CPU cloud	GPU cloud
Build sequence	Capacity first; demand follows	Anchor contract first; build follows
Customer base	Millions of tenants	Few large buyers
Upfront funding	Internal cash and corporate debt	Prepayments, project debt and SPVs
Risk profile	Diversified utilization risk	Concentrated customer and residual risk
Winning capability	Build ahead at scale	Structure and deliver bankable capacity

Source: Bloomberg Intelligence, Company Reports

Bloomberg Intelligence

4. Frontier Labs Flip Cloud Bargaining Power

CPU cloud's millions of tenants diluted buyer leverage; no customer could dictate a hyperscaler's capital plan. Dedicated AI infrastructure can reverse that dynamic. Microsoft said OpenAI represented 45% of commercial RPO in fiscal 2Q26, even though nearly 90% of 2026 cloud revenue still came from customers outside frontier-model companies. That contrast is temporal, not contradictory: recognized revenue reflects Microsoft's diversified installed base, while RPO points to a much more concentrated future mix as AI contracts convert. Oracle's $664 billion RPO is similarly AI-driven, though it doesn't disclose OpenAI's share.

Concentration gives frontier labs unusual leverage. Anthropic has committed more than $100 billion to AWS, $30 billion to Azure and tens of billions to Google Cloud, allowing it to diversify supply and negotiate price, prepayments, delivery schedules and chip roadmaps. The moat shifts from owning millions of fragmented tenants to winning a few contracts large enough to shape a provider's capital plan, but at the cost of far greater counterparty and renewal risk. (09/22/26)

AI Backlog Concentrates Ahead of Revenue

Measure	Current revenue base	Forward order book
Share	~90%	45%
What it measures	Microsoft cloud revenue outside frontier labs	OpenAI share of commercial RPO
Read-through	Broad installed enterprise base	Concentrated future commitments

Source: Bloomberg Intelligence, Company Filings

Bloomberg Intelligence

5. GPU Premium Was Partly a Capital Premium

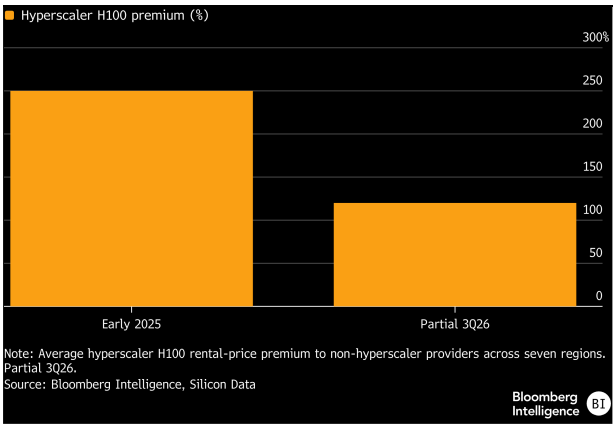
Early GPU-cloud pricing reflected who could carry duration risk. Cash-rich integrated clouds could retain more short-term exposure and charge scarcity prices; neoclouds often needed multiyear contracts and prepayments to finance capacity, accepting lower rates in exchange for utilization and funding certainty. Their discount bought capital and downside protection, not weaker compute.

That trade is converging from both ends. CoreWeave's newer debt accommodates shorter customer agreements; Nebius says one-to-three-year contracts can produce $20-$25 million per MW and sub-six-month capacity can generate $40-$50 million per MW annualized. Standardized H100 data show the hyperscaler premium falling from about 250% in early 2025 to 120% in partial 3Q26, largely as incumbent prices fell while specialist rates stabilized. Duration, scarcity and the service bundle increasingly set the rate, narrowing the hyperscaler moat in pure GPU compute. (09/22/26)

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Hyperscaler Premium Halves

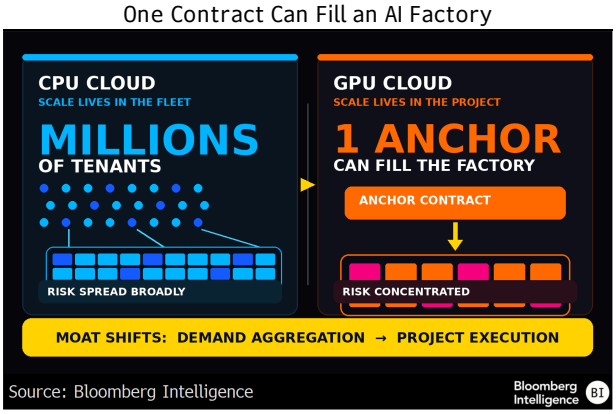


6. GPU Cloud Moves Scale From Company to Project

CPU cloud made demand aggregation a moat. Millions of staggered tenants kept a vast shared fleet busy, absorbed idle servers and spread fixed costs; a smaller rival faced worse utilization even with similar hardware. GPU cloud weakens that advantage. One frontier lab can reserve enough dedicated capacity to fill an AI factory for years, often before it is built, allowing scale economics to form around a contracted project rather than a worldwide customer base.

That lowers the minimum scale needed to compete. One strong offtaker can keep a large block utilized and help finance it. The trade-off is concentration: losing or repricing one anchor can strand a project, a risk that CPU cloud would have spread across millions of tenants. The moat shifts from owning the broadest fleet to winning, delivering and renewing a few projects large enough to support their own economics. Hyperscaler scale remains powerful, but translates less directly to dedicated frontier capacity. (09/22/26)

One Contract Can Fill an AI Factory



7. Power Pipelines Erode the Fleet Moat

CPU cloud made today's fleet the gateway to tomorrow's supply. Hyperscalers' utility teams, cash and millions of tenants let them build years ahead of demand; newcomers couldn't justify the same pipeline. GPU cloud reverses the sequence: anchor contracts arrive first, then developers, lenders and suppliers assemble the power and capacity around them.

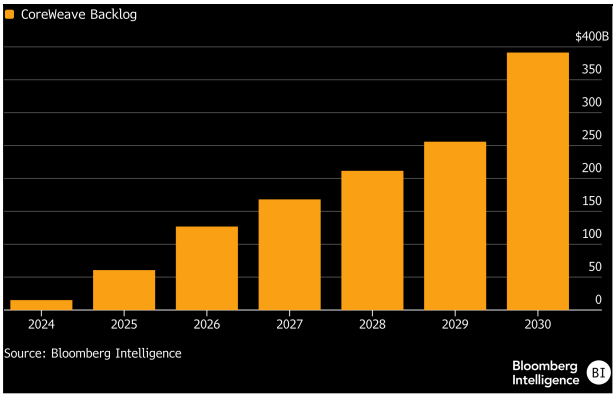
CoreWeave shows how quickly the order book can reach cloud scale. Bloomberg consensus sees its RPO rising from $15 billion at end-2024 to $391 billion in 2030, roughly equal to Microsoft's commercial RPO in fiscal 1Q26 and about three-quarters of the latest AWS and Google Cloud totals.

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Active power rose from 420 MW in 1Q25 to 1.5 GW in 2Q26, with contracted power at 4.2 GW by August. NScale launched from stealth in 2024; a reported $45 billion Anthropic contract now anchors about 460 MW of its 1.35-GW Monarch campus. The fleet no longer has to come first; the contract can bring together the capital and power needed to build it. (09/22/26)

CoreWeave RPO Rises 26x by 2030



8. AI Infrastructure Opens Before Cloud Does

CPU cloud bundled surplus capital, millions of tenants, global capacity and customer control inside the same provider. GPU cloud separates them. Customer-backed projects can raise asset-level debt before the parent is investment grade; one anchor can fill an AI factory before it is built; pure-compute premiums are shrinking; and developers, suppliers and institutional capital can assemble future power outside a hyperscaler fleet. The next block of capacity is therefore becoming contestable.

That isn't cloud parity. Hyperscalers still have cheaper parent credit, far more energized capacity and the enterprise estate above the machine. The shift is narrower but consequential: newcomers no longer need to recreate Microsoft, Amazon or Google before financing and selling useful compute. AI infrastructure opens first; software, data, identity and distribution may not. The next note asks which upper-stack moats move with the workload and which become stronger. (09/22/26)

What Opens – and What Stays Wide

Test	Narrowing	Still wide
Funding	Asset-level project finance	Parent corporate credit
Demand	Anchor contracts can fill projects	Enterprise customer distribution
Capacity	Access to future power	Global energized fleet
Economics	Pure GPU pricing	Custom-silicon advantage

Source: Bloomberg Intelligence

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To contact the analyst for this research:

Vasu Kasibhotla at vkasibhotla1@bloomberg.net

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